

Member ID: _____

Time: _____

Rank: _____



College Accounting (105)

NATIONAL 2025

CONCEPT KNOWLEDGE:

Multiple Choice (10 @ 2 points each) _____ (20 points)

APPLICATION KNOWLEDGE:

Short Answer _____ (36 points)

Problem 1 – Journal Entries _____ (57 points)

Problem 2 – Bonds _____ (81 points)

Problem 3 - Depreciation _____ (48 Points)

TOTAL POINTS _____ ***(242 points)***

Test Time: 90 minutes

GENERAL GUIDELINES:

Failure to adhere to any of the following rules will result in disqualification:

1. Member must hand in this test booklet and all printouts if any. Failure to do so will result in disqualification.
2. No equipment, supplies, or materials other than those specified for this event are allowed in the testing area. No previous BPA tests and/or sample tests (handwritten, photocopied, or keyed) are allowed in the testing area.
3. Electronic devices will be monitored according to ACT standards.

The test is divided into two parts, and you **MUST** complete both parts. You will have 90 minutes to complete your work.

PART ONE Instructions: Concept Knowledge

1. Open Google Chrome and navigate to compete.bpa.org.
2. Click on the Secondary Division Competitions button.
3. Enter your BPA Member ID (8-digits) and Password to access your test questions.
4. Answer all questions and submit your test.
5. Move on to Part Two.

PART TWO: Application Knowledge

Complete the questions in the rest of this test booklet by filling in the PDF.

EXAM GUIDELINES:

You have been hired as a Financial Assistant and will be keeping the accounting records for Digital Solutions, located at 700 Morse Road, Suite 201, Columbus, Ohio 43214. Digital Solutions provides accounting and other financial services for clients. You will complete jobs for Digital Solutions' own accounting records, as well as for clients.

You will have 90 minutes to complete your work. The test is divided into two parts: concept knowledge and application knowledge.

Your name and/or school name should *not* appear on any work you submit for grading. Write your Member ID in the provided space. Staple all pages in order before you turn in your test.

Assumptions to make when taking this assessment:

- Round all calculations to two decimals at the final step.
- Round all percentages to one decimal place.
- Use 360 days for interest calculations.

Multiple Choice Questions

Directions: Identify the letter of the choice that best completes the statement or answers the question.

1. Langford Corporation has acquired property that includes both land and a building for \$900,000. The corporation hired an appraiser who has determined that the market value of the land is \$352,000 and that of the building is \$448,000. At what amount should the corporation record the cost of the building? (Round any intermediate calculations to two decimal places, and your final answer to the nearest dollar.)
 - A. \$497,222
 - B. \$396,000
 - C. \$450,000
 - D. \$504,000
2. Seager Corp. uses an accelerated depreciation method while Semien Inc. uses the straight-line method. All other things being equal, during the first few years of the asset's use, Seager will show which of the following compared to Semien?
 - A. Lower asset values and lower net income
 - B. Higher asset values and lower net income
 - C. Lower asset values and higher net income
 - D. Higher asset values and higher net income
3. On January 2, 2022, Carter Enterprises purchased equipment for \$42,000 cash, expecting the equipment to remain in service for five years, with a \$2,000 residual value. Carter uses straight-line depreciation. On March 30, 2025, Carter sold the equipment for \$20,000 cash. What is the amount of gain or loss on the transaction?
 - A. Loss \$26,000
 - B. Loss \$2,000
 - C. Gain \$2,000
 - D. Gain \$4,000
4. J. Smith Company issues \$1,009,000 of 8%, 10-year bonds at 97 on February 28, 2024. The bond pays interest annually. On February 28, 2025, how much cash did J. Smith pay to the bondholders?
 - A. \$80,720
 - B. \$40,360
 - C. \$41,369
 - D. \$39,351

5. Walsh Co. is planning to issue \$1,000 bonds with a stated interest rate of 8% and a maturity date in five years. If interest rates rise in the economy so that similar financial investments pay 10%, Walsh will:
- A. Issue the bonds at a premium
 - B. Issue the bonds at face value
 - C. Issue the bonds at a discount
 - D. Change the rate so that the bonds pay 10%
6. If a company is financing more assets with debt than with equity, the _____.
- A. Debt to equity ratio will be equal to 1.
 - B. Debt to equity ratio will be negative.
 - C. Debt to equity ratio will be greater than 1.
 - D. Debt to equity ratio will be between 0 and 1.
7. Adolis, Inc. had the following transactions in 2025, its first year of operations:
- Issued 26,000 shares of common stock. The stock has a par value of \$3.00 per share and was issued at \$18.00 per share.
 - Issued 1,800 shares of \$100 par value 10% preferred stock at par.
 - Earned net income of \$40,000.
 - Paid no dividends.

At the end of 2025, what is total stockholders' equity?

- A. \$688,000
 - B. \$648,000
 - C. \$390,000
 - D. \$258,000
8. Taveras Corporation has 15,000 shares of 11%, \$85 par noncumulative preferred stock outstanding and 21,000 shares of non-par common stock outstanding. At the end of the current year, the corporation declares a dividend of \$189,000. How is the dividend allocated between preferred and common stockholders?
- A. The dividend is allocated \$78,750 to preferred stockholders and \$110,250 to common stockholders.
 - B. The dividend is allocated \$196,350 to preferred stockholders and \$7,350 to common stockholders.
 - C. The dividend is allocated \$7,013 to preferred stockholders and \$110,250 to common stockholders.
 - D. The dividend is allocated \$140,250 to preferred stockholders and \$48,750 to common stockholders.

9. On June 30, 2024, Lowe, Inc. showed the following data on the equity section of their balance sheet:

Stockholders' Equity:	
Common Stock, \$1 par; 198,000 shares authorized, 150,000 shares issued and outstanding	\$150,000
Additional Paid-In Capital —Common	275,000
Retained Earnings	946,000
Total Stockholders' Equity	<u>\$1,371,000</u>

On July 1, 2024, the company declared and distributed a 12% stock dividend. The market value of the stock at that time was \$19 per share. Following this transaction, what is the balance of Common Stock?

- A. \$332,520
 - B. \$428,040
 - C. \$128,040
 - D. \$168,000
10. Which of the following is true of a stock split and a stock dividend?
- A. A stock split will increase total stockholders' equity, but a stock dividend will not.
 - B. A stock split will decrease retained earnings, but a stock dividend will not.
 - C. Neither a stock split nor a stock dividend will increase total stockholders' equity.
 - D. A stock dividend will increase total stockholders' equity, but a stock split will not.

Short Answer (36 Points)

1. Heim Company has the following balances at the beginning of the current year:

Common Stock	\$309,000
Additional Paid-In Capital	\$30,000
Retained Earnings	\$167,000

During the year, the company declared and paid dividends of \$49,000 and had net income at the end of the year of \$204,000. What is the ending total stockholders' equity (assume no transactions related to common stock occurred)?

Total Stockholders' Equity	
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2. On January 1, Eovaldi issued \$20,000 in bonds for \$26,800. These are eight-year bonds with a stated rate of 9%. What is Eovaldi's total cost of borrowing on the bonds?

Total Cost of Borrowing	
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3. On March 31, 2025, Jung Inc. shows the following data on its balance sheet:

Common Stock, \$1 Par, 1,000,000 shares authorized	
250,000 shares issued, 190,000 shares outstanding	\$250,000
Additional Paid-In Capital —Common	2,510,000
Retained Earnings	4,700,000
Treasury stock, 60,000 shares at \$26	1,560,000

Assume that Jung sells 1400 shares of treasury stock at \$33 per share. What is the balance in the Treasury Stock account after this transaction?

Treasury Stock Balance	
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4. Selected balance sheet information and the income statement for Duran Industries for the current year are presented below.

Selected Balance Sheet Accounts		
	Prior Year	Current Year
Accounts Receivable	\$ 24,000	\$ 16,000
Inventory	32,000	35,200
Prepaid Rent	1,600	0
Accounts Payable	17,600	22,400
Salaries and Wages Payable	3,200	4,800
Income Statement		
Sales Revenue	\$ 480,000	
Expenses:		
Cost of Goods Sold	288,000	
Depreciation Expense	32,000	
Salaries and Wages Expense	48,000	
Rent Expense	19,200	
Insurance Expense	19,200	
Interest Expense	17,600	
Utilities Expense	16,000	

Net Income	\$ 40,000
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What is the Cash Flows from Operating Activities using the indirect method?	
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5. Identify whether each of the following list of items is an operating activity cash flow (O), an investing activity cash flow (I), a financing activity cash flow (F), or none of these (None).

- A. _____ Proceeds from sale of equipment
- B. _____ Cash collected from customers
- C. _____ Payments to suppliers
- D. _____ Stock repurchases
- E. _____ Repayment of bond principal
- F. _____ Payment of income tax
- G. _____ Purchases of equipment financed with a note
- H. _____ Payment of cash dividends

Problem 1: Journal Entries (57 Points)

Semien Corporation was organized in 2025. Its corporate charter authorized the issuance of 50,000 shares of common stock, par value \$5 per share, and 10,000 shares of 8% preferred stock, par value \$25 per share. The following transactions took place during 2025:

- January 1 Sold and issued 45,000 shares of common stock for cash at \$25 per share.
- February 1 Sold and issued 5,000 shares of preferred stock for cash of \$75 per share.
- June 1 Repurchased 7,500 shares of common stock at \$24 per share.
- August 1 Sold 1,000 shares of the treasury stock at \$26 per share.
- October 1 Sold another 1,500 shares of the treasury stock at \$23 per share.
- December 1 Declared cash dividends totaling \$100,000.
- December 31 Paid the cash dividends that were declared.

General Journal			
Date	Account	Debit	Credit

Problem 2: Bonds (81 points)

On January 1, 2025, LeClerc Industries issues 3-year bonds with a face value of \$560,000 and a stated interest rate of 8% at 1.045.

Required:

Fill in the table assuming the company uses the straight-line bond amortization.

Period Ended	Cash Paid	Amortized Discount/ Premium	Interest Expense	Bonds Payable	Discount/ Premium on Bonds Payable	Carrying Value
01/01/25						
12/31/25						
12/31/26						
12/31/27						

Prepare the appropriate entries below:

General Journal			
Date	Account	Debit	Credit
1/1/25			
12/31/25			

Problem 3: Depreciation (48 Points)

On January 1, 2024, Eovaldi Corp. acquired a truck for \$200,000. The residual value was estimated to be \$25,000. The truck can be driven for 50,000 miles or a useful life of five years. Actual usage of the truck was recorded as 12,000 miles for the first year and 15,000 miles for the second year. Calculate the depreciation expense and book values for 2024 and 2025 under the following methods (do not round intermediate calculations).

Straight-line	Depreciation Expense	Book Value
2024		
2025		
Units of Production		
2024		
2025		
Double-declining Balance		
2024		
2025		